

SELL SIDE EQUITY REPORT

Roblox Corporation
(NYSE: RBLX)

Price: 57.70
Rating: **BUY**
Target price: 70



Earnings Call

Most recent earnings call: 02/06/2025
Next earnings call: 05/08/2025

Valuation Metrics

Sector	Communications
Industry	Entertainment content
Market cap.	\$38,503.2 M
52-week range	\$29.55 to \$75.74
ROIC	-52.57
P/E Ratio (TTM)	N/A
Beta	1.03
Price/Book	174.12
Price/Sales	10.91
Dividend yield	N/A
Projected upside	94.08%
1-Year Return	42.50%
3-Year Return	38.43%

Financial Metrics

Net Revenue	\$3,602.0 M
Gross Profit	\$2,800.8 M
Net Income	\$-935.4 M
Interest Coverage	-25.82
LT Dept/Capital	83.24
LT Debt/Assets	23.36
ROA	-14.02
ROE	-628.33

DuPont Analysis

Tax Burden	99.88
Interest Burden	104.60
Operating Margin	-24.86
Asset Turnover	0.54
Leverage Ratio	44.82
Adjusted ROE	-626.70

Company Overview

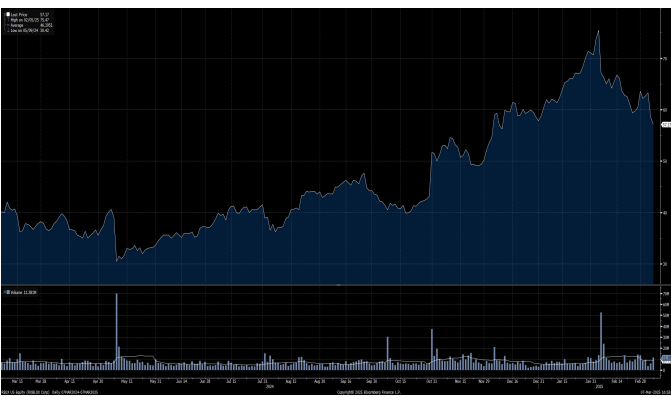
Roblox operates a free to use immersive platform for connection and communication where everyday come to create, play, work, learn and connect with each other in experience built by their global community of user.

Their platform consists of the Roblox Client (explore 3D immersive), the Roblox Studio (create, publish and operate) and the Roblox Cloud (service and infrastructure).

Growth at Roblox has been driven primarily by a significant investment in technology and two mutually reinforcing network effects: content and social.

Industry Overview

The interactive media and video games industry continue to evolve, driven by digital transformation, emerging technologies, and shifting consumer preferences. The sector benefits from strong engagement trends, with live-service games subscription models and mobile gaming contributing to recurring revenue streams. Esports and game streaming remain integral to the ecosystem, though monetization challenges persist amid fluctuating sponsorship and advertising revenues. Cloud gaming adoption is progressing, but infrastructure and content availability remain key constraints. Hardware innovation, including advancements in virtual reality (VR) and augmented reality (AR), presents long-term growth opportunities, while regulatory scrutiny on in-game purchases.



Sales (in USD billions)						Diluted EPS					
Year	Q1	Q2	Q3	Q4	FY	Year	Q1	Q2	Q3	Q4	FY
2021	0.387	0.454	0.509	0.569	1.92	2021	-0.46	-0.25	-0.13	-0.25	-0.97
y-o-y	139.51%	126.61%	102.19%	83.47%	107.73%	y-o-y	-4.55%	37.5%	-50.0%	16.6%	30.22%
2022	0.537	0.591	0.517	0.579	2.22	2022	-0.27	-0.30	-0.50	-0.48	-1.55
y-o-y	38.80%	30.19%	1.64%	1.80%	15.94%	y-o-y	41.3%	-20.0%	-284.6%	-92.0%	-59.79%
2023	0.655	0.680	0.713	0.749	2.79	2023	-0.44	-0.46	-0.45	-0.52	-1.87
y-o-y	22.01%	15.15%	37.77%	29.52%	25.81%	y-o-y	-62.9%	-53.3%	10.0%	-8.33%	-20.65%
2024	0.801	0.893	0.919	0.988	3.60	2024	-0.43	-0.32	-0.37	-0.33	-1.44
y-o-y	22.27%	31.26%	28.84%	31.77%	28.68%	y-o-y	2.27%	30.4%	17.8%	36.5%	22.99%

Investment Thesis

Roblox Corporation (RBLX) is a **leading UGC gaming platform** experiencing strong engagement and bookings growth, driven by **advertising expansion, new monetization strategies, and international market penetration**. The company’s bookings grew **22.5% YoY in 2024**, with December concurrent **user growth reaching 29% YoY**. Management has provided 2025 bookings guidance of **~20% YoY growth**. Projected **\$300M in 2025 in ad revenue**, with long-term estimates reaching **\$1B by 2026**, supported by partnerships with **Shopify, PubMatic, and Kantar**. EBITDA is forecasted to grow **36% YoY in 2025 to \$1.06B**, with **100-300bps annual margin expansion** and direct payments boosting margins by 25% per transaction. Growth in older user demographics (61% of DAUs are 13+), live events (e.g., MrBeast’s Beast Games), and potential Nintendo Switch expansion.

Considering this there are also some associated to RBLX that engagement slowdown or decline in booking per user, Regulatory and trust/safety concerns impacting user retention and advertiser interest and slower adoption of immersive ads, affecting revenue growth.

Roblox remains a high-growth investment in the gaming and digital entertainment sector. Despite **short-term volatility**, the **long-term growth thesis remains intact**, making RBLX an **attractive opportunity for long-term investors**.

Risk Analysis

Roblox Corporation’s performance may be hindered by the following factors:

- The company faces evolving regulations on online safety, data privacy, cybersecurity, AI, and content moderation. Non-compliance could result in significant fines and operational restrictions.
- Roblox relies on external operating systems, hardware, and networks. Any disruptions or changes can impact user retention and revenue.
- The platform is a frequent target for hacking, data breaches, and fraudulent activities, potentially harming user trust and corporate reputation.
- Given its large base of underage users, ensuring a safe online environment is critical. Any failure in moderation could lead to legal action and reputational damage.
- Issues like unauthorized digital goods sales, hacking, and bot activity can impact revenue and operational integrity
- Emerging technologies like AI and virtual reality could either present opportunities or disrupt Roblox’s business model if not properly adapted.
- Events like trade restrictions, conflicts, and government regulations in different countries can create financial and operational instability

Porter's 5 Forces

Threat of New Entrants	Moderate. Developing a platform with similar scale and engagement as Roblox requires significant investment in technology, content, and user acquisition. Roblox has a strong brand and a loyal user base, making it difficult for newcomers to gain traction. They benefit from a vast community of creators who develop games and experiences, making it harder for new entrants to replicate its model. Startups leveraging AI and blockchain for next-gen virtual worlds could pose a challenge.
Bargaining Power of Suppliers	High: Roblox relies on cloud computing (e.g., AWS, Microsoft Azure) for its infrastructure, but competition in the cloud industry keeps costs in check. While Roblox depends on independent developers to create experiences, its vast creator ecosystem limits individual developer influence. Global supply chain disruptions, rising semiconductor costs, and restrictions on AI chip exports to China could affect infrastructure expenses.
Bargaining Power of Buyers	Moderate: Users can switch to other platforms like Fortnite, Minecraft, or emerging metaverse experiences. Roblox relies on in-game purchases (Robux), and users have control over spending, limiting Roblox's pricing power. Strong network effects make it harder for users to leave, but competition keeps Roblox from increasing prices aggressively. Geopolitical tensions, particularly in China, where gaming regulations are strict, could impact Roblox's user base and revenue streams in key markets.
Threat of Substitutes	High. Competitors like Epic Games (Fortnite), Microsoft (Minecraft), and Unity-powered games offer similar experiences. Platforms like TikTok, YouTube, and VR-based experiences (Meta's Horizon Worlds) compete for users' screen time. Emerging AI-driven gaming platforms could shift engagement away from Roblox. Tighter regulations on digital assets and virtual currencies due to geopolitical concerns could slow down innovation in monetization strategies.
Rivalry Between Existing Competitors	High. Roblox faces intense competition from Minecraft, Fortnite, Meta's metaverse projects, and emerging Web3 gaming platforms. The battle for ad revenue, developer retention, and user spending intensifies competition. Companies investing in AI, VR, and blockchain (e.g., Nvidia, Unity, Meta) are creating new competitive pressures. AI-driven gaming experiences and cloud gaming advancements could intensify rivalry as companies race to innovate.